log sales volume internally. In accordance with our sustainable forestry practices, we harvest an average of 1 percent of our acreage each year in the North. Regeneration is predominantly natural, augmented by planting where appropriate.

Canada — Licensed Forestlands

We manage forestlands in Canada under long-term licenses from the provincial governments to secure volume for our manufacturing facilities in various provinces. The provincial governments regulate the volume of timber that may be harvested each year through Annual Allowable Cuts (AAC), which are updated every 10 years. As of December 31, 2025, our AAC by province was:

- Alberta — 2,211 thousand tons,
- British Columbia — 547 thousand tons,
- Ontario — 154 thousand tons and
- Saskatchewan — 633 thousand tons.

When the volume is harvested, we pay the province for that volume at stumpage rates set by the government. The harvested logs are transferred to our manufacturing facilities at cost (stumpage plus harvest, haul and overhead costs less any margin on selling logs to third parties). Any profit from harvesting the log through converting to finished products is recognized at the respective mill in our Wood Products segment.

Summary of License Arrangements

GEOGRAPHIC AREA	THOUSANDS OF ACRES AS OF DECEMBER 31, 2025
	TOTAL ACRES
Province:	
Alberta	5,399
British Columbia[1]	1,147
Ontario[2]	2,574
Saskatchewan[2]	4,987
Total Canada	**14,107**

(1) All licenses in British Columbia will be transferred to the purchaser of our Princeton lumber mill, pending regulatory approval. See additional discussion at Note 20: Princeton Lumber Mill Divestiture.
(2) License is managed by partnership.

HOW MUCH WE HARVEST

Our fee harvest volumes are managed sustainably across all regions to ensure the preservation of long-term economic value of the timber and to capture maximum value from the markets in which we operate. This is accomplished by ensuring annual harvest schedules target financially mature timber and reforestation activities align with the growing of timber through its life cycle to financial maturity.

Five-Year Summary of Timberlands Fee Harvest Volumes

FEE HARVEST VOLUMES IN THOUSANDS OF TONS	2025	2024	2023	2022	2021
West[1]	9,004	8,902	8,753	7,858	8,084
South	24,832	24,514	25,177	24,329	23,304
North	981	940	942	974	1,085
Total	**34,817**	**34,356**	**34,872**	**33,161**	**32,473**

(1) Western logs are primarily transacted in thousand board feet (MBF) but are converted to ton equivalents for external reporting purposes.

Five-Year Summary of Timberlands Fee Harvest Volumes — Percentage of Grade and Fiber

PERCENTAGE OF GRADE AND FIBER		2025	2024	2023	2022	2021
West	Grade	90%	92%	91%	89%	92%
	Fiber	10%	8%	9%	11%	8%
South	Grade	48%	46%	47%	45%	49%
	Fiber	52%	54%	53%	55%	51%
North	Grade	39%	35%	35%	37%	51%
	Fiber	61%	65%	65%	63%	49%
Total	**Grade**	**59%**	**58%**	**58%**	**55%**	**62%**
	Fiber	**41%**	**42%**	**42%**	**45%**	**38%**

HOW MUCH WE SELL

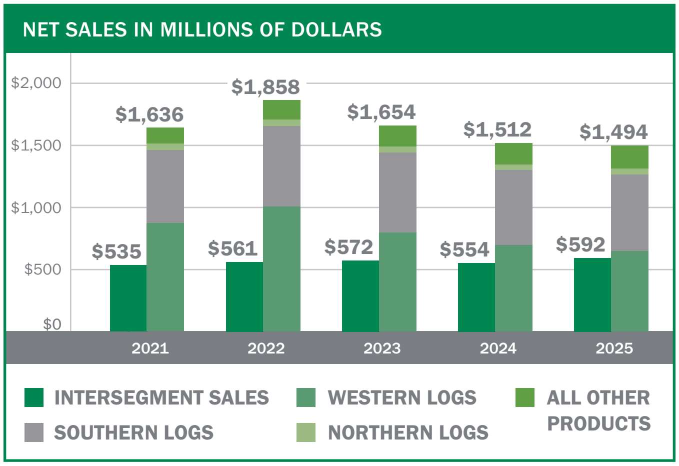
Our net sales to unaffiliated customers over the last two years were $1.5 billion in 2025 and $1.5 billion in 2024. Our intersegment sales over the last two years were $592 million in 2025 and $554 million in 2024.

Five-Year Summary of Net Sales for Timberlands

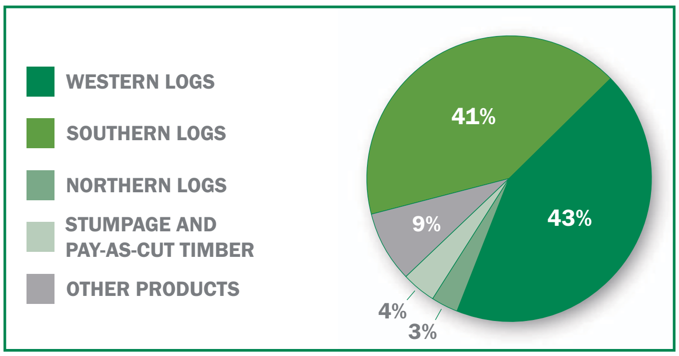
NET SALES IN MILLIONS OF DOLLARS	2025	2024	2023	2022	2021
Net sales to unaffiliated customers:					
Delivered logs:					
West	$ 645	$ 693	$ 794	$ 1,004	$ 869
South	613	603	643	645	589
North	50	46	48	56	52
Total	**1,308**	**1,342**	**1,485**	**1,705**	**1,510**
Stumpage and pay-as-cut timber	60	51	56	46	31
Recreational lease revenue	79	77	74	68	65
Other products[1]	47	42	39	39	30
Subtotal net sales to unaffiliated customers	1,494	1,512	1,654	1,858	1,636
Intersegment net sales	592	554	572	561	535
Total	**$ 2,086**	**$ 2,066**	**$ 2,226**	**$ 2,419**	**$ 2,171**

(1) Other products include sales of seeds and seedlings from our nursery operations and wood chips.

Five-Year Trend for Total Net Sales in Timberlands



Percentage of 2025 Sales Dollars to Unaffiliated Customers



Log Sales Volumes

Our sales volumes include fee timber as well as logs purchased in the open market.

Our log sales volumes to unaffiliated customers over the last two years were:

- 22,833 thousand tons in 2025 and
- 22,855 thousand tons in 2024.

We sell three grades of logs — domestic grade, domestic fiber and export. Factors that may affect log sales in each of these categories include:

- domestic grade log sales — lumber usage, primarily for housing starts and repair and remodel activity, the needs of our own mills and the availability of logs from both outside markets and our own timberlands;
- domestic fiber log sales — demand for fiber by pulp mills, containerboard mills, pellet mills and oriented strand board mills and
- export log sales — the level of housing starts in Japan and construction in other international export markets, as well as availability of logs from other countries.

Five-Year Summary of Log Sales Volumes to Unaffiliated Customers

SALES VOLUMES IN THOUSANDS

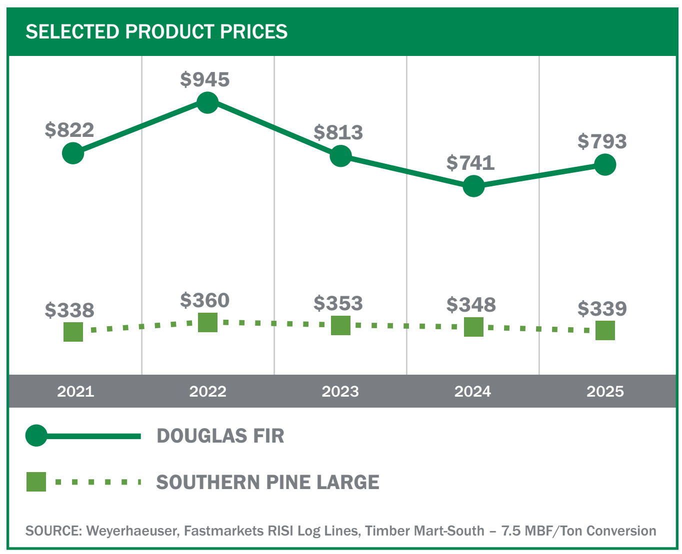
	2025	2024	2023	2022	2021
Logs – tons:					
West[1]	5,663	5,901	6,259	6,296	6,203
South	16,486	16,317	17,173	16,864	16,594
North	684	637	629	707	788
Total	**22,833**	**22,855**	**24,061**	**23,867**	**23,585**

(1) Western logs are primarily transacted in thousand board feet (MBF) but are converted to ton equivalents for external reporting purposes.

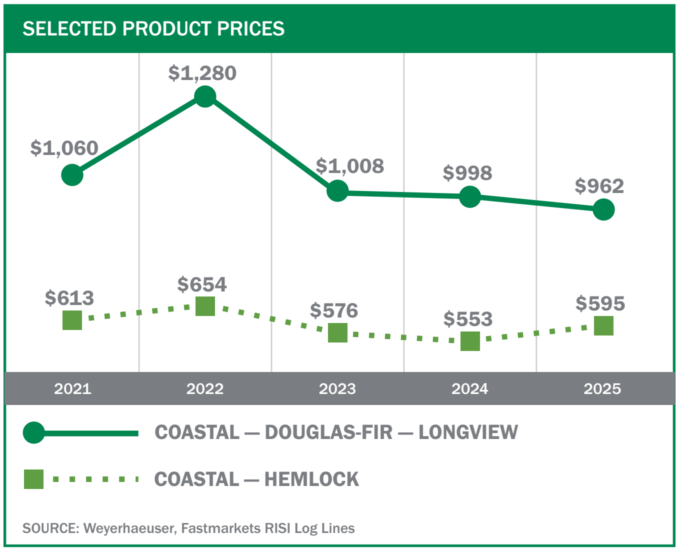
Log Prices

Domestic and export grade logs are sold at market prices to unaffiliated customers or our internal mills. The majority of our log sales to unaffiliated customers involve sales to domestic sawmills and the export market. Log prices in the following tables are on a delivered (mill) basis.

Five-Year Summary of Published Domestic Log Prices (#2 Sawlog Bark On — $/MBF)



Five-Year Summary of Export Log Prices (#2 Sawlog Bark On — $/MBF)



Log prices are affected by the supply of and demand for grade and fiber logs. Export log prices are particularly affected by the Japanese housing market, construction activity in other international export markets and the availability of logs from other countries.

WHERE WE'RE HEADED

Our competitive strategies include:

- continuing to capitalize on our scale of operations, silviculture and supply chain expertise and sustainability practices;
- improving cash flow through operational excellence initiatives including merchandising for value, harvest and transportation efficiencies as well as focused silviculture investments to improve forest productivity;
- optimizing and growing our timber portfolio through disciplined investments;
- leveraging the integrated nature of our portfolio to drive margin improvement opportunities;
- leveraging our export and domestic market access, infrastructure, supply chain expertise and strong customer relationships;
- leveraging our scale, proximity to mills and logistics to broaden end use markets;
- increasing our recreational lease revenue and
- continuing to maximize the value of our timberlands portfolio by managing the acres to achieve the highest and best use.

REAL ESTATE, ENERGY AND NATURAL RESOURCES

Our Real Estate & ENR segment maximizes the value of our timberland ownership through application of our asset value optimization (AVO) process and captures the full value of surface and subsurface assets. In 2021, we launched our Climate Solutions business through which we leverage our resources and expertise to help others meet their goals to reduce carbon emissions or mitigate environmental impacts. This involves an expansion of our established business activities in the areas of conservation, mitigation banking and leasing land for renewable energy projects. Additionally, it involves advancing our participation in other emerging markets focused on the mitigation of carbon emissions, including forest carbon, by which we generate carbon credits through incremental carbon sequestration over a baseline and sell them on voluntary carbon markets, and carbon capture and sequestration, which involves leasing of surface and subsurface ownership to safely and permanently sequester transported carbon emissions from their source. As the largest private owner of timberlands in North America, the scale and geographic diversity of our assets create a unique opportunity for participation in each of these activities, all of which offer natural solutions for reducing carbon emissions and support climate change mitigation efforts.

WHAT WE DO

Real Estate

Properties that exhibit higher use value than commercial timberlands are monetized by our Real Estate business over time. We analyze our existing U.S. timberland holdings using a process we call AVO. We start with understanding the value of a parcel operating as commercial timberlands and then assess the specific real estate attributes of the parcel and its corresponding market. The assessment includes demographics, infrastructure and proximity to amenities and recreation to determine the potential to realize a premium value to commercial timberland. Attributes can evolve over time, and accordingly, the assignment of value and opportunity can change. We continually revisit our AVO assessment across our timberland portfolio. Additionally, we leverage new technology to improve and enhance our ability to identify and capture value from various timber and non-timber attributes, including carbon, renewable energy and other climate solutions opportunities. This technology-enabled approach, referred to as “AVO 2.0”, leverages remote sensing, satellite imagery, machine learning and other advanced data analytics, and continues to drive significant improvements in our ability to identify strategic growth opportunities and manage every acre in our portfolio to maximize value across the full suite of attributes and opportunities.

We expect to sell certain properties for recreational, conservation, commercial or residential purposes over time. We will also entitle a small amount of acres for real estate development. Development, outside of entitlement activities, is typically performed by third parties. Mitigation banking consists of setting aside certain areas of our timberlands to preserve, enhance or restore a wetland, stream or habitat area to make up for development by another entity in a similar nearby ecosystem. Activities within the Real Estate business that contribute to climate solutions include conservation sales or easements and mitigation banking. Some of our real estate activities are conducted through our TRSs.

Occasionally, we sell a small amount of timberland acreage in areas where we choose to reduce our market presence and capture a price that exceeds the value derivable from holding and operating as commercial timberlands. These transactions will vary based on factors including the location and physical and operating characteristics of the timberlands.

The volume of real estate sales is a function of many factors, including the general state of the economy, demand in local real estate markets, the ability of buyers to obtain financing, the number of competing properties listed for sale, the seasonal nature of sales, the plans of adjacent landowners, our expectation of future price appreciation, the timing of harvesting activities and the availability of government and not-for-profit funding. In any period, the average price per acre sold will vary based on the location and physical characteristics of parcels sold.

Energy and Natural Resources

We focus on maximizing potential opportunities for construction materials, industrial minerals, renewable energy (including wind and solar energy), natural gas, right-of-way easements on our timberland portfolio and retained mineral interests. Activities within the ENR business that contribute to climate solutions include utilizing land for the production of renewable energy like wind and solar, forest carbon and carbon capture and sequestration.

As the owner of mineral rights and interests, we typically do not invest in development or operations but, instead, enter into contracts with operators granting them the rights to explore, develop and sell energy and natural resources produced from our property in exchange for rents and royalties. We generally reserve mineral rights when selling timberlands acreage. Some Energy and Natural Resources activities are conducted through our TRSs.

Real Estate, Energy and Natural Resources Sources of Revenue

BUSINESS	SOURCES OF REVENUE
Real Estate	• Select timberland tracts are sold for recreational, conservation, commercial or residential purposes. • Mitigation banking credits are generated and sold.
Energy and Natural Resources	• Rights are granted to explore for, extract and sell construction aggregates (rock, sand and gravel), industrial materials and natural gas. • Ground leases and easements are granted to wind and solar developers to generate renewable electricity. • Rights are granted to access and utilize timberland acreage for communications, pipeline, powerline and transportation rights of way. • Forest carbon credits are generated and sold. • Subsurface ownership is leased for carbon sequestration.

WHERE WE DO IT

Our Real Estate business identifies opportunities to realize premium value for our owned timberland acreage.

The majority of our Energy and Natural Resources revenue sources are located in Arkansas, Oregon, Washington, South Carolina and Georgia (construction material royalties), as well as Louisiana and West Virginia (natural gas royalties).

HOW MUCH WE SELL

Our net sales over the last two years were $454 million in 2025 and $391 million in 2024.

Five-Year Summary of Net Sales for Real Estate, Energy and Natural Resources

NET SALES IN MILLIONS OF DOLLARS	2025	2024	2023	2022	2021
Net sales:					
Real Estate	$330	$280	$237	$235	$246
Energy and Natural Resources	124	111	126	133	98
Total	**$454**	**$391**	**$363**	**$368**	**$344**

Five-Year Summary of Real Estate Sales Statistics

REAL ESTATE SALES STATISTICS	2025	2024	2023	2022	2021
Acres sold	57,095	94,908	62,942	58,791	55,827
Average price per acre	$ 4,827	$ 2,682	$ 3,494	$ 3,714	$ 3,725